

proposition was obviously not enduring, and as soon as the glow came off, the trust came under urgent selling pressure. By the summer of 2022, GBTC traded at a 30% discount to its net asset value. If one wished to try and capture this discount, there were very straightforward ways to get short Bitcoin with a creditworthy counterpart, most notably the future traded at the Chicago Mercantile Exchange. Would this be an opportunity? There might not be any near-term catalyst that forces a convergence, although optimists might focus on Grayscale's persistent campaign to persuade the U.S. Securities and Exchange Commission (SEC) to permit conversion of the trust into an ETF. In the absence of a catalyst such as maturity or the ability to access the underlying Bitcoin and realize its value, this looks less like an opportunity for profit and more like a curiosity. Graham and Dodd would also point to the risk of "possession of control by those who have no real capital investment." (Chap. 48)

Thinking about which securities are nearly identical (or very similar) with the benefit of modern finance and its probability state analysis has turbocharged the ideas behind Graham and Dodd. In their writing, Graham and Dodd tend to focus on the most likely scenarios and then build in a margin of safety. Now we have ways to imagine and model many scenarios, not just the most likely ones. We have a much more sophisticated way of thinking about risks than was possible when Graham and Dodd presented their ideas, because we have both the models and the requisite computational power. We can even compare the various "margins of safety" or excess return per unit of risk.

During the early days of my firm's efforts to extract market neutral returns from fixed-income securities and derivative markets, there was a great deal of turmoil in the U.S. interest rate market. Short rates coming out of the very weak economic period of 1993 were less than 3%, and five-year yields were around 5.2%. As the economy improved, more and more rate hikes were anticipated by the interest rate curve. In December